MT **Miller Trust Guide**

NJ · FREE CHECKLIST

The 7 most common reasons New Jersey Medicaid denies a Miller Trust

A plain-English checklist of the paperwork errors that cost New Jersey families a month of benefits — each with the DMAHS citation behind it, so you can verify before you file, not after the denial letter arrives.

Read this first — the funding-month rule. A Miller Trust (Qualified Income Trust) only works for a given month if it is **both signed and funded in that same calendar month**. DMAHS does not back-date eligibility. Sign on the 28th but fund on the 2nd of the next month, and the first month is billed at the New Jersey private-pay rate — roughly **$11,169–$14,000**. Most families lose a month to this timing gap, not to ineligibility.

The 7 denial traps to check before you file

Every trap below is drawn from DMAHS policy. Verify each against the citation shown before you submit the Medicaid application.

1

QIT not funded in the month eligibility is sought

To be financially eligible in any month, the QIT must be funded that month. If the applicant applies in June and wants eligibility in July, July income must be deposited into the QIT by July 31. If income is never deposited into the QIT account in the month, the applicant is ineligible that month due to excess income.

Source: NJ DMAHS QIT FAQ #15, #18

2

Only part of a named income source deposited

An applicant may direct all or some of their income to the QIT, but the ENTIRE amount of any income source that is named (e.g., the whole Social Security check or the whole pension check) must be deposited. Only the amount actually deposited into the QIT is disregarded; a partial deposit of a named source leaves the rest counted.

Source: NJ DMAHS QIT FAQ #10

3

Resources (not income) deposited into the QIT

A QIT may contain only the beneficiary's income, deposited in the month received. Resources — cash, savings, proceeds from the sale of real or personal property, or any other person's income (including a spouse's) — cannot be placed in the QIT and can invalidate it or push the applicant over the $2,000 resource limit.

Source: NJ DMAHS QIT FAQ #11, #12; QIT model instrument, 'Trust Funding'

4 A non-allowable disbursement from the trust

Distributions must follow the post-eligibility priority (personal/maintenance needs allowance, community-spouse allowance, incurred medical expenses, cost share; plus up to $20/month bank fee and a trustee fee up to 6% of that month's income). Any other payment from the Trust invalidates it under 42 U.S.C. § 1396p(d)(4)(B), and the income is then counted toward the Medicaid limit.

Source: NJ QIT model instrument, 'Trust Disbursements'; FAQ #34, #36

5 Income routed to a facility resident-fund account instead of the QIT

Income deposited into a nursing facility's Resident Fund Management account (or paid directly to the facility) counts as income. Only income deposited into the QIT bank account in the month received is disregarded for eligibility.

Source: NJ DMAHS QIT FAQ #18, #19

6 Missing or defective remainder clause / improper payout at death

The trust must name the State of New Jersey as the first beneficiary of all remaining funds up to the total Medicaid paid. No provision may repay other creditors first or pay burial expenses before the State; only what remains after the State is paid may go to a named distributee. A missing/defective reversion clause is a denial cause.

Source: NJ QIT model instrument, 'Termination'; FAQ #5, #20

7 Beneficiary named as trustee, or trust not irrevocable

The primary beneficiary may not serve as trustee, and the trust must be irrevocable with assets that cannot be assigned, pledged, or transferred. A revocable trust or a beneficiary-trustee fails DMAHS's requirements.

Source: NJ QIT model instrument, 'Trustee Appointment' & 'Irrevocability'; FAQ #1, #24

How families get every step right the first time

This checklist tells you *what* can go wrong. The full New Jersey Miller Trust Setup Kit walks through avoiding each one in order — the word-for-word bank script for when the branch refuses to open the account, the pre-filled funding worksheet using the CMS January 2026 figures income cap of $2,982, and the day-before-you-file checklist. It's backed by a money-back guarantee: if DMAHS rejects the trust for a reason traceable to following the kit, you get a full refund.

Verify the sources yourself

- Official DMAHS template — DMAHS Qualified Income Trusts (QIT) — MLTSS; QIT FAQ (Updated March 2018) + model QIT instrument; NJ adopted QITs effective Dec. 1, 2014 under 42 U.S.C. § 1396p(d)(4)(B)
- DMAHS policy manual — New Jersey Division of Medical Assistance and Health Services

— James Whitfield, Miller Trust Guide · millertrustguide.com

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